

AMIS Crops: World Supply-Demand Balances in 2012/13

World supply and demand situation continues to tighten for wheat and maize but rice and soybeans have eased. In recent weeks, unfavourable weather conditions affecting some winter wheat growing areas in the northern hemisphere and maize and soybeans in the southern hemisphere have become a concern. In addition, contradictory reports about possible export restrictions by Ukraine also influenced the market.

	From previous month f' cast	From previous season (2011/12)
Wheat	▼	▼
Maize	▼	▼
Rice	▲	▲
Soybeans	▲	▲

▲ Easing ■ Neutral ▼ Tightening

WHEAT	USDA		IGC		FAO-AMIS		
	2011/12	2012/13	2011/12	2012/13	2011/12	2012/13	
	est.	f'cast 11-Oct	est.	f'cast 25-Oct	est.	f'cast 04-Oct	f'cast 08-Nov
Production	696	653	694	655	699	663	661
Supply	894	851	889	851	892	856	850
Utilization	695	678	692	679	698	687	687
Trade	157	131	145	132	147	135	135
Ending Stocks	198	173	196	172	189	172	167

- Wheat production down sharply from 2011 record, mainly because of severe drought in eastern Europe and central Asia.
- Utilization above production for the second consecutive season but feed use falling from the peak in 2011/12.
- Trade in 2012/13 falls, mostly on improved production in several importing countries and reduced feed demand as well as tighter exportable supplies.
- Stocks (ending 2013) to fall below their opening levels (by even more than was anticipated in October) reflecting larger draw down in China.

MAIZE	USDA		IGC		FAO-AMIS		
	2011/12	2012/13	2011/12	2012/13	2011/12	2012/13	
	est.	f'cast 11-Oct	est.	f'cast 25-Oct	est.	f'cast 04-Oct	f'cast 08-Nov
Production	878	839	876	830	884	855	856
Supply	1005	971	1007	965	1007	991	988
Utilization	873	853	872	848	878	866	868
Trade	108	90	97	93	101	93	94
Ending Stocks	132	117	135	117	132	124	123

- Maize production to decline in 2012, largely on reduced harvest in the USA. Forecast raised slightly this month reflecting higher output in China.
- Utilization to decline for the first time in a decade, driven by smaller maize use for ethanol production in the USA.
- Reduced export supplies and high maize prices result in smaller trade volume in 2012/13.
- World maize stocks (ending in 2013) decline significantly, largely on shrinking inventories in the USA and the EU.

RICE	USDA		IGC		FAO-AMIS		
	2011/12	2012/13	2011/12	2012/13	2011/12	2012/13	
	est.	f'cast 11-Oct	est.	f'cast 25-Oct	est.	f'cast 04-Oct	f'cast 08-Nov
Production	465	465	463	465	483	483	486
Supply	564	571	560	568	627	640	645
Utilization	458	469	457	466	468	474	475
Trade	38	36	36	36	37	35	38
Ending Stocks	105	102	103	102	159	165	170

- Rice production to surpass the 2011 record, reflecting generally favourable growing conditions.
- Trade in 2012 to reach a record with a further slight increase possible in 2013 on steadfast import demand and large export supplies.
- Utilization (mostly human consumption) to keep pace with population growth.
- Stocks (ending in 2013) to reach a new record, with significant increases projected in China and Thailand.

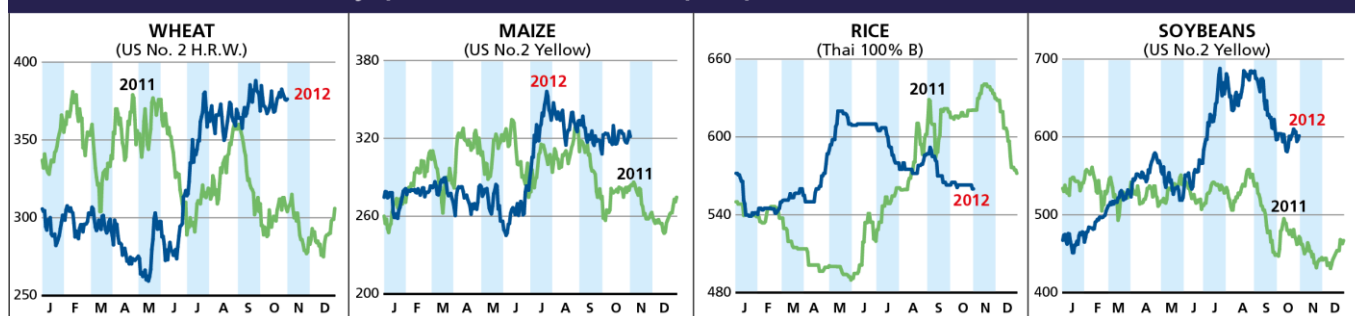
SOYBEANS	USDA		IGC		FAO-AMIS		
	2011/12	2012/13	2011/12	2012/13	2011/12	2012/13	
	est.	f'cast 11-Oct	est.	f'cast 25-Oct	est.	f'cast 4-Oct	f'cast 8-Nov
Production	238	264	238	264	240	260	269
Supply	309	319	275	287	275	284	294
Utilization	254	259	251	261	257	263	262
Trade	90	96	91	96	93	96	99
Ending Stocks	55	58	24	27	25	23	29

- Soybean production to rebound in 2012/13 (exceeding the 2010/11 record) assuming record harvests in South America in early 2013.
- Global crush to grow only modestly in 2012/13 as meal demand expected to suffer from high prices.
- Trade heading for a sizeable expansion after two seasons of sluggish growth. Higher export supplies in South America expected to drive growth.
- Stocks to recover only in part from last season's decline.

NB: Explanatory notes and list of sources are available at the end of the report.

Selected Export Prices and Price Indices

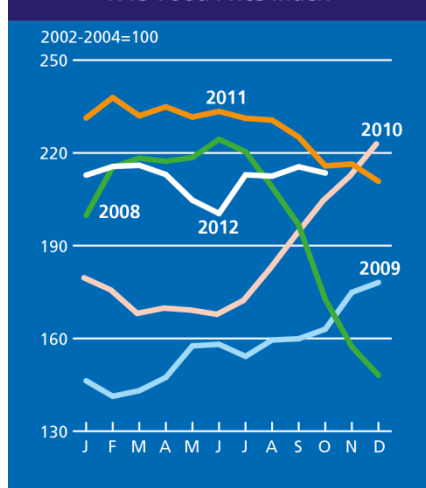
Daily quotations of selected export prices (USD/tonne, 2011-2012)



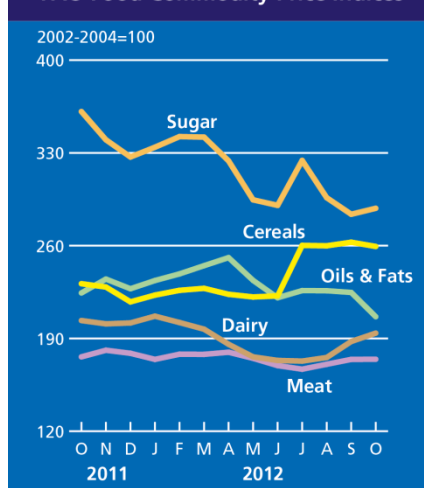
Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	1 Nov	378	380	377	306	-0.6%	23.4%
Maize (US No. 2, Yellow)	1 Nov	317	317	324	282	-	12.3%
Rice (Thai 100% B)	2 Nov	560	563	563	621	-0.5%	-9.8%
Soybeans (US No. 2, Yellow)	1 Nov	606	608	607	462	-0.3%	31.0%

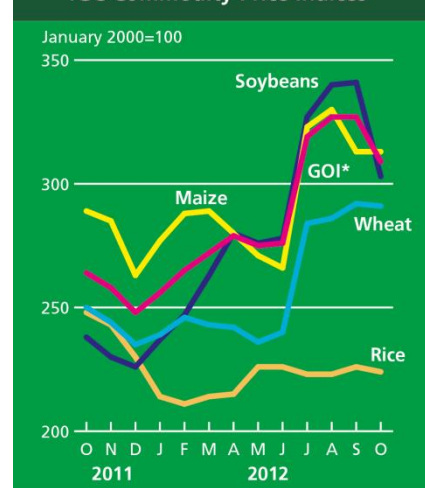
FAO Food Price Index



FAO Food Commodity Price Indices



IGC Commodity Price Indices



FAO food price indices

Food Price Index								GOI*				
		Meat	Dairy	Cereals	Oils and Fats	Sugar	Wheat	Maize	Rice	Soybeans		
(. 2002-2004 = 100)								(. January 2000 = 100)				
2011	October	216	176	204	231	224	361	264	250	289	248	238
	November	216	181	201	229	235	340	258	244	285	243	230
	December	211	179	202	218	227	327	248	235	263	230	226
2012	January	213	174	207	223	234	334	256	239	277	214	237
	February	216	178	202	226	239	342	265	246	288	211	247
	March	216	178	197	228	245	342	272	243	289	214	263
	April	213	180	186	223	251	324	279	242	280	215	280
	May	205	175	176	221	234	295	275	236	271	226	276
	June	200	170	173	222	221	290	276	240	266	226	278
	July	213	167	173	260	226	324	319	284	323	223	327
	August	213	170	176	260	226	296	327	286	330	223	340
	September	215	174	188	263	225	284	327	292	313	226	341
	October	213	174	194	259	206	288	309	291	313	224	303

*GOI: Grains and Oilseeds Index

Futures Prices and Market Trends

October 2012 Futures Prices (Nearby)*

	From Sept 2012	From Oct 2011
Wheat	-1%	+38%
Maize	-2%	+19%
Rice	+1%	-8%
Soybeans	-8%	+27%

*Source: CME - Monthly averages.

Historical Volatility – 30 Days*

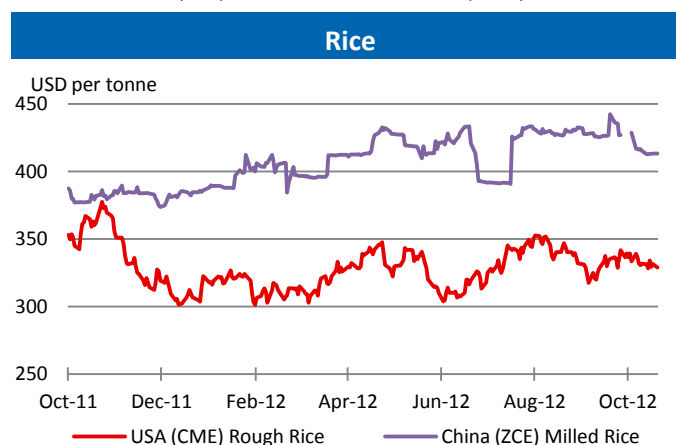
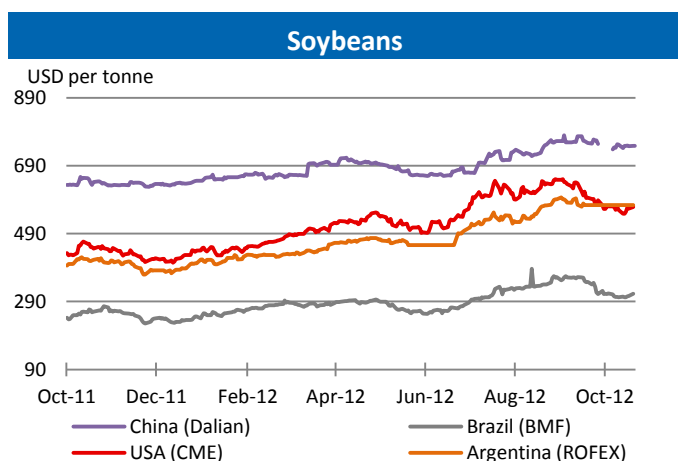
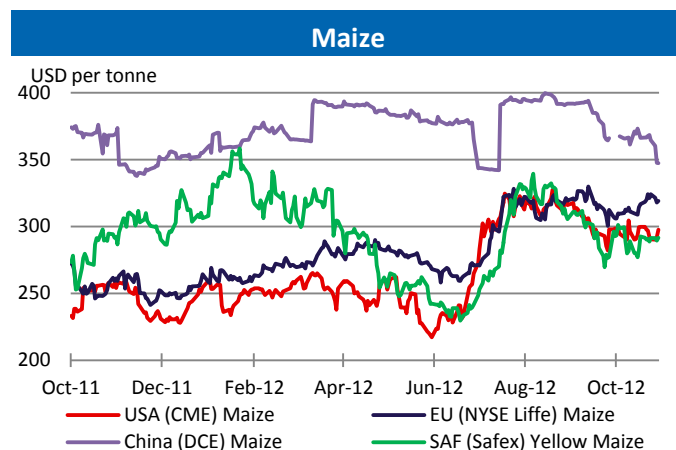
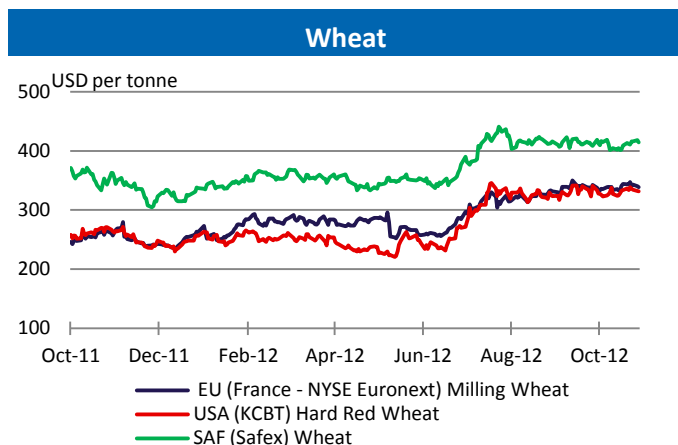
	From Sept 2012	From Oct 2011
Wheat	-1%	-32%
Maize	+19%	-21%
Rice	+4%	-16%
Soybeans	-9%	-7%

In October, US futures prices were more stable with most quotations down slightly from September

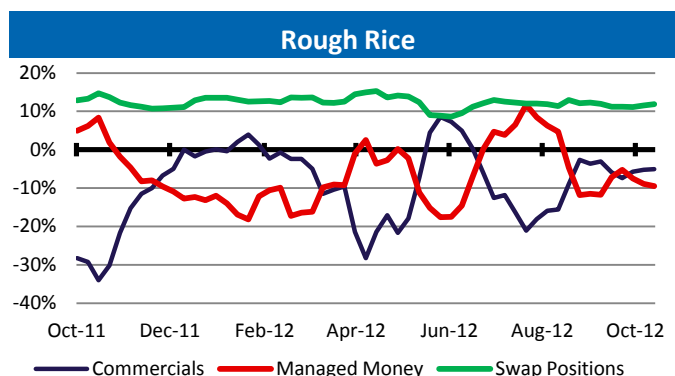
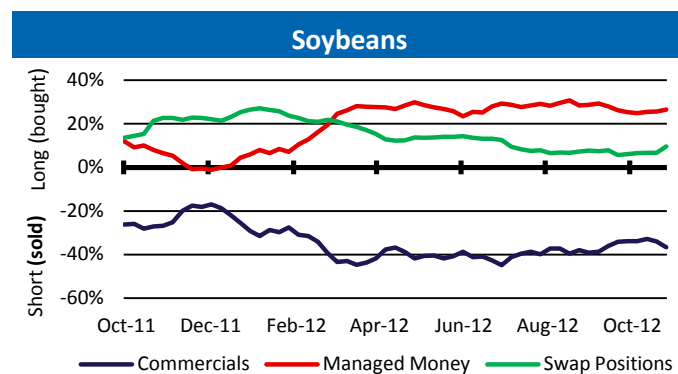
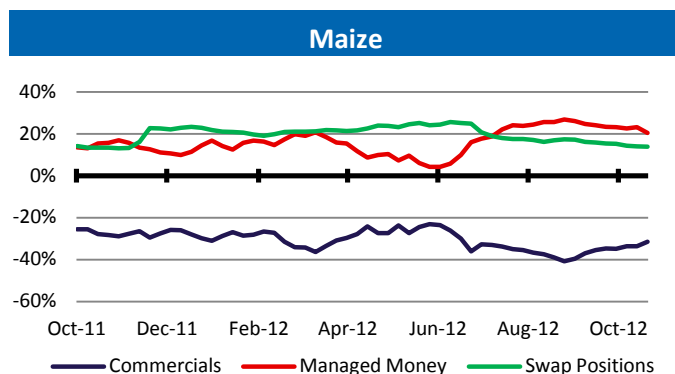
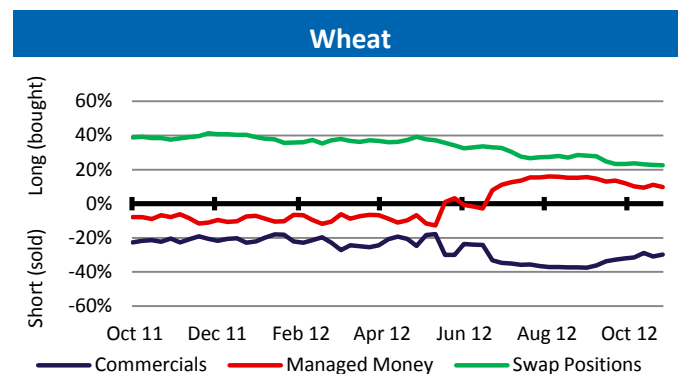
- **Wheat** market experienced a brief price rise after the USDA October report and again when Ukraine announced (on 24 October) that it may halt wheat exports from mid-November. However, the market was influenced by adequate exportable supplies, sharply reduced import demand and improved moisture conditions in those winter wheat growing regions which suffered drought in 2011. Prices firmed towards late October with signs of adverse weather affecting major growing areas.
- **Maize** market exhibited some upward price movement following the 11 October USDA report (WASDE), which highlighted the supply tightness in the United States, the world's largest maize producer and exporter, evidenced in the projected stocks-to-use ratio falling to its lowest level since the mid 1990s. However, faltering demand, especially with regard to its domestic use for ethanol production and the slower pace of exports, weighed on maize prices, resulting in a small decline from September.
- **Soybean** markets experienced a significant price decline mostly on optimism over production prospects in South America as weather developments were generally favourable. The decline was somewhat offset by exceptionally high harvest time cash values, which lent support to nearby (November) delivery prices.
- **Rice** prices remained mostly stable while the US rice futures up slightly in October. The strengthening of prices has become more evident since August, mostly because of spill over from wheat and maize markets.

Implied volatility levels, futures trade volumes and forward curves showed little change from September. According to the Commodity Futures Trading Commission (CFTC) Commitment of Traders Report, managed money continued to maintain large net long positions, particularly in maize and soybeans, although at somewhat reduced levels from the late August and early September period when these markets attained record high prices.

Daily Quotations from Leading Exchanges - nearby futures

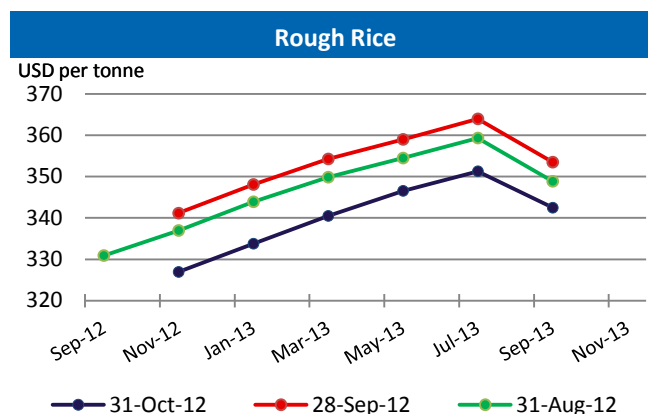
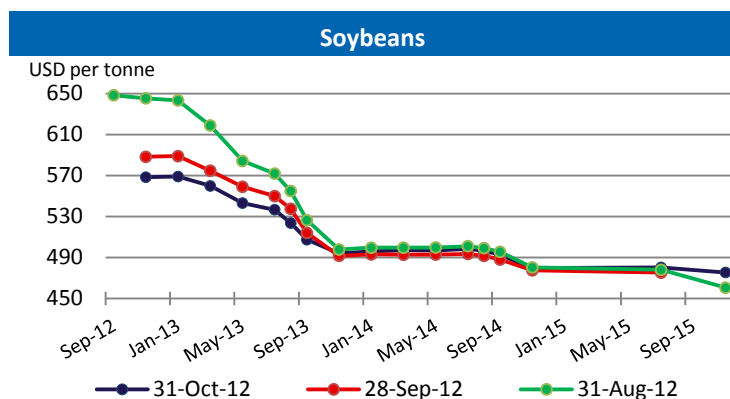
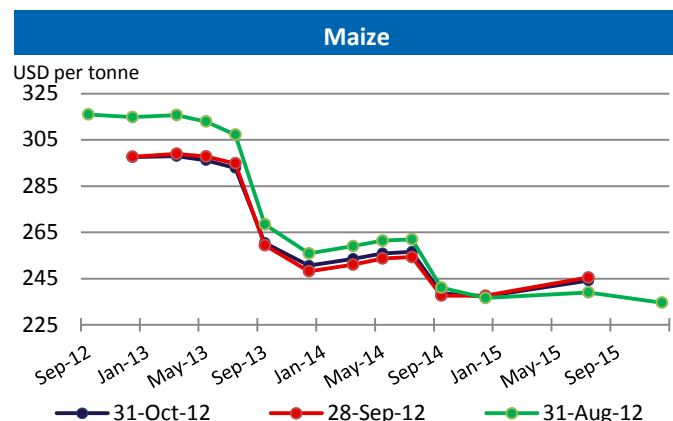
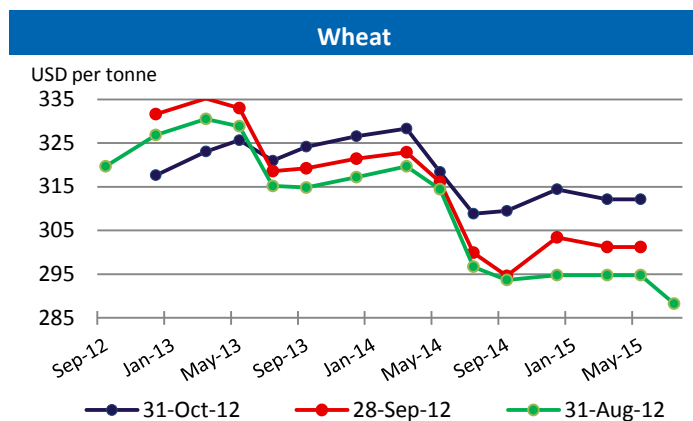


CFTC Commitment of Traders - Major Categories Net Length as % of Open Interest*

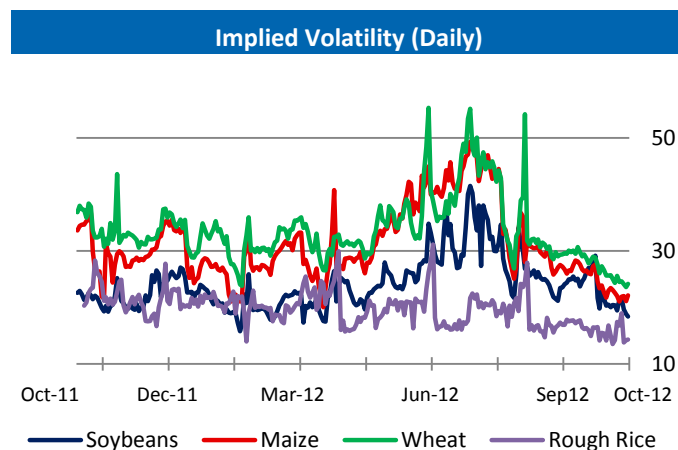
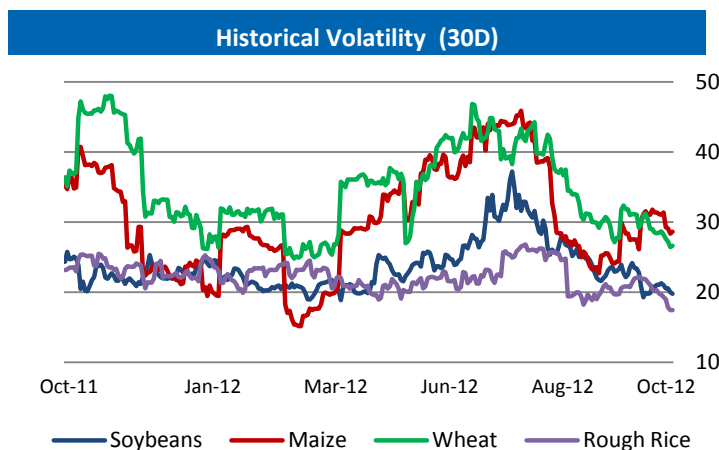


* Disaggregated Futures Only

Forward Curves

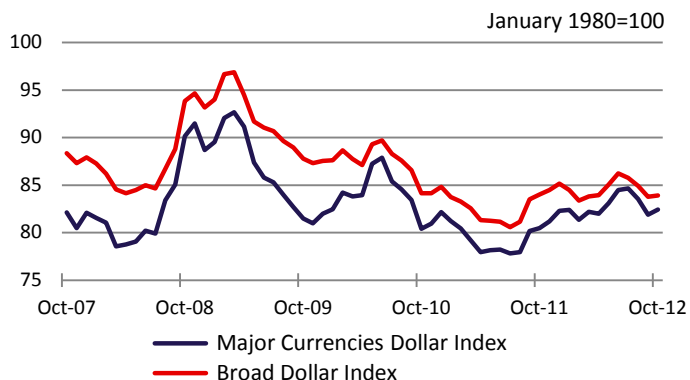


Historical and Implied Volatilities

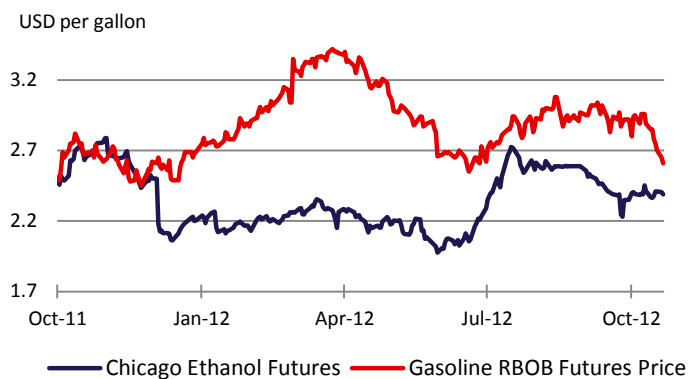


Other Indicators

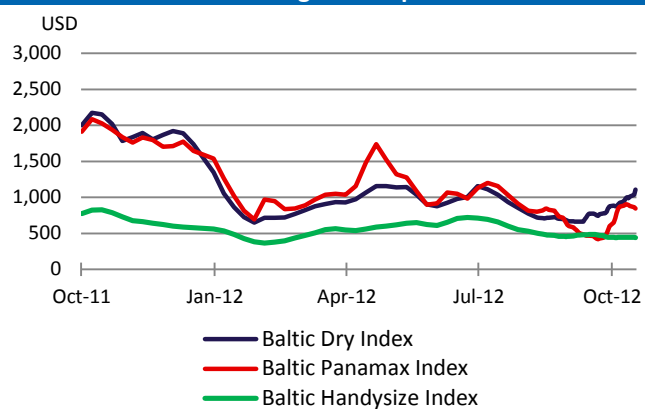
Dollar Indices (Real Terms)



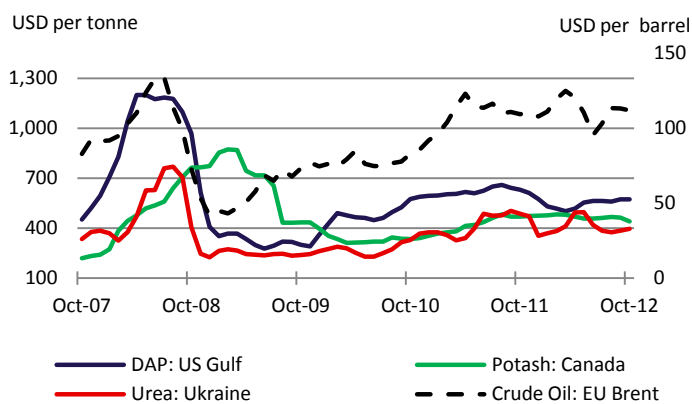
Daily Ethanol vs Gasoline Futures Prices



Ocean Freights Comparison



Monthly Fertilizer and Crude Oil Prices-FOB



AMIS Market Monitor Tentative Release Dates

2012 – 06 December

2013 – 07 February, 07 March, 11 April, 09 May, 06 June, 11 July, 05 September, 03 October, 07 November, 05 December.

Explanatory Notes

World Supply Demand Balances

The notions of **tightening** and **easing** used in the summary of “world supply and demand” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

FAO-AMIS: World estimates (forecasts) are based on information received from AMIS countries as well as on FAO data for non-AMIS countries.

Dates: Refer to the day of release of the reports of the various organizations (FAO, IGC, and USDA).

Production: Cereal production data refer to the calendar year of the first year shown. Rice production is expressed in milled terms. **Supply:** Defined as production plus opening stocks. **Utilization:** Includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). In the case of soybeans, utilization comprises crush, food and other uses.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown and for soybeans from October to September.

Ending stocks: May not equal the difference between supply and utilization due to differences in the definition of marketing years across countries.

Within this publication differences may be apparent in the estimates and forecasts of the selected organizations (USDA, IGC and FAO-AMIS). This is mostly because of differences in methodologies as well as release dates.

Futures Prices and Market Trends

For information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Main sources:

Bloomberg, CFTC, CME Group, FAO, Inter-Continental Exchange, IGC, USDA, US Federal Reserve, World Bank.

Contacts:

AMIS Secretariat

Email: AMIS-Secretariat@fao.org

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